

Chapter:08 (public Finance in Islam)

Public Finance:

Public finance is the study of the role of the government in the economy, particularly how it collects revenue, spends funds, manages debt, and administers finances to achieve economic stability and growth.

Revenue can come from any legal source, including interest-based income.

Main goal: economic growth, efficiency, and stability.

🌸 Functions of Public Finance

There are three main functions of public finance as follows:

1. Allocation Function

2. Distribution Function

3. Stabilization Function

💠 Allocation Function

The allocation function concerns the provision of public goods (such as roads, defense, education, and healthcare) which are non-exclusive in nature. The government allocates public expenditure efficiently to ensure maximum social benefit from limited resources.

💠 Distribution Function

This function aims to reduce income and wealth inequalities in society.

In public finance, primarily three measures are outlined to achieve this target –

A.] A tax-transfer scheme or using progressive taxing, i.e. in simpler words charging higher tax from the rich and giving subsidies to the low-income

B.] Progressive taxes can be used to finance public services such as affordable housing, health care, etc.

C] A higher tax can be applied to luxury goods or goods that are purchased by the high-income group, for example, higher taxes on luxury cars.

💠 Stabilization Function

The stabilization function seeks to reduce economic fluctuations caused by business cycles. Policies like deficit budgeting during depression and surplus budgeting during booms help maintain economic stability.

Public Finance in Islam

Public finance in Islam refers to the management of state resources and expenditures according to Shariah, ensuring social justice, welfare, and ethical economic management. It covers the collection, allocation, and administration of public funds.

Revenue sources: Zakat, Khums, Ushr, Jizya, Sadaqah, Waqf, halal profits.

Main goals: justice, welfare, poverty alleviation, and ethical management.

Debt allowed only ethically and interest-free.

❁ Principles of Public Finance in Islam

Islamic public finance is guided by Shariah rules, aiming to ensure justice, welfare, and ethical management of public resources. The main principles are:

1. Principle of Justice and Equity (Al-Adl wa Al-Ihsan)

- Resources should be collected and spent fairly.
- Wealth redistribution through zakat, sadaqah, and taxes reduces inequality.
- Government expenditure should not favor the rich or powerful, and public funds must benefit all classes.

2. Principle of Public Welfare (Maslahah)

- Public finance should serve the welfare of society.
- Government spending must promote social, economic, and moral well-being (education, health, infrastructure).
- Policies should maximize common good rather than private gain.

3. Principle of Prohibition of Unlawful Income (Halal Revenue)

- Public revenue must come from halal sources.
- Forbidden (haram) sources like riba (interest), gambling, and alcohol are not used for public finance.
- Ensures ethical integrity of state income.

4. Principle of Accountability and Transparency (Mas'uliyah)

- Government must maintain clear records of income, expenditure, and debt.
- Officials are accountable to the public and to Allah for misuse or mismanagement of funds.

5. Principle of Balanced Budget

- Government should aim for balance between income and expenditure.
- Borrowing is permitted only under necessity, and debt should be managed responsibly.
- Prevents excessive deficit and economic instability.

6. Principle of Efficiency in Resource Allocation

- Funds should be spent on priority sectors: defense, administration, welfare, and infrastructure.
- Expenditure must achieve maximum benefit with minimum waste.

7. Principle of Redistribution of Wealth

- Mechanisms like zakat, khums, sadaqah, waqf ensure redistribution from rich to poor.
- Reduces income inequality and fosters social solidarity.

8. Principle of Ethical Borrowing and Lending

- Borrowing must avoid riba (interest) and be based on mutual consent and fairness.
- Loans are for legitimate public needs, not wasteful spending.

🌸 Scope of Public Finance in Islam

The scope covers all financial activities of the state, including revenue collection, expenditure, debt management, and financial administration. The main areas are:

(a) Public Revenue

Income collected by the state to meet public needs.

➤ Sources of revenue in Islam:

- ❖ Zakat: Obligatory wealth purification for the poor (8 categories of recipients).
- ❖ Kharaj & Ushr: Land taxes on agricultural produce.
- ❖ Jizya: Tax on non-Muslim citizens under Islamic governance (in return for protection).
- ❖ Sadaqah and Waqf: Voluntary charity and endowments.
- ❖ Government-owned enterprises or trade profits.

(b) Public Expenditure :

- ❖ Funds spent to achieve social welfare and public interest.

◆ Areas of spending:

- Defense and law enforcement
- Public infrastructure (roads, bridges, water supply)
- Education and healthcare
- Poverty alleviation programs (via zakat, sadaqah, or grants)

(c) Public Debt

- ◆ Borrowing is allowed only under necessity, ex: emergencies or development projects.
- ◆ Debt must be halal, ethical, and repayable.
- ◆ Excessive borrowing or interest-based debt (riba) is prohibited.

(d) Financial Administration

- ◆ Proper management of public funds through transparent and accountable systems.
- ◆ Includes budget preparation, policy implementation, auditing, and ensuring Shariah compliance.

🌸 Instruments of public finance in Islam:

Islam provides a set of ethical and Shariah-compliant instruments to raise and allocate public funds. These instruments are designed to ensure social justice, economic welfare, and equitable distribution of wealth.

1. Zakat

Nature: Obligatory levy on wealth (2.5% of savings, gold, silver, business assets).

Purpose: Poverty alleviation, wealth purification, and income redistribution.

Analysis: Ensures automatic redistribution from rich to poor.

Targets specific categories of needy individuals (8 categories in Qur'an).

Sustainable if used productively (e.g., income-generating aid).

2. Khums

Nature: One-fifth (20%) of surplus income or war booty.

Purpose: Supports religious leadership and public welfare projects.

Analysis:

Provides funds for religious, social, and educational purposes.

Ensures community development while sharing surplus wealth.

3. Sadaqah (Voluntary Charity)

Nature: Voluntary contributions beyond obligatory zakat.

Purpose: Flexible support for social welfare, education, healthcare, disaster relief.

Analysis:

Encourages moral responsibility and social solidarity.

Can fund temporary or urgent needs, complementing zakat.

4. Waqf (Endowment)

Nature: Permanently dedicated property or funds for charitable purposes.

Purpose: Long-term social services (schools, hospitals, mosques, water projects).

Analysis:

Ensures perpetual social benefits.

Acts as a sustainable financial instrument, reducing government burden.

5. Ushr (Agricultural Tax)

Nature: 10% of Muslim-owned land produce.

Purpose: Revenue collection from agricultural surplus.

Analysis:

Supports agrarian economy and rural development.

Encourages fair taxation on productive resources.

6. Jizya (Non-Muslim Tax)

Nature: Tax on non-Muslim citizens in return for protection and exemption from military service.

Purpose: Revenue for the state while safeguarding minority rights.

Analysis:

Ensures equity and social contract with non-Muslims.

Not intended as oppression but as state protection fee.

7. Government Revenue from Trade and State Enterprises

Nature: Profits from halal trade, monopolies, or government-owned projects.

Purpose: Fund public projects, infrastructure, defense, and welfare.

Analysis:

Provides flexible and lawful state revenue.

Should follow ethical trade principles, avoiding riba or forbidden sources.

🌸What is Zakat:

Zakat is one of the five pillars of Islam.

Zakat literally means “purification” and “growth.” Zakat is a religious obligation, ordering all Muslims who meet the necessary criteria to donate a certain portion of wealth each year to charitable causes.

Zakat is obligatory if an individual possesses wealth to the value of the Nisab (minimum threshold). According to Sharia, such a person is deemed to be rich. Zakat is imposed by both the Qur’an and the Sunnah and the Prophet (peace be upon him) he listed Zakatable items and monetary rates to be charged on each of them.

🌸Basic Structure of Zakat

Zakat is a compulsory Islamic levy imposed on Muslims who possess wealth above a minimum threshold, with the objective of purification of wealth and social justice.

1. Persons Liable to Pay Zakat

- ✦ Every adult, sane Muslim
- ✦ Must have complete ownership of wealth
- ✦ Wealth must be above Nisab
- ✦ Wealth must be held for one lunar year (Hawl)

2. Nisab :

Nisab is the minimum amount of wealth that makes zakat obligatory. The Nisab was set by Prophet Mohammed (SAW) at a rate equivalent to :

87.48 grams of gold

612.36 grams of silver

Cash and trade goods are evaluated based on gold or silver value

3. Rate of Zakat

- 2.5% on cash, savings, gold, silver, and business assets
- Different rates apply to agricultural output and livestock (as per Shariah rules)

4. Zakatable Assets

Cash and bank balances

Gold and silver

Business inventory and profits

Agricultural produce

Livestock

5. Conditions of Zakat :

- ◆ Wealth must be halal
- ◆ Must be productive or growth-oriented
- ◆ Excludes personal necessities (house, clothing, tools of trade)

6. Collection and Administration :

- ◆ Zakat may be paid individually or collected by an Islamic authority
- ◆ In an Islamic state, zakat collection is a state responsibility

7. Distribution of Zakat

Zakat must be distributed only to the eight categories mentioned in the Qur'an (Surah At-Tawbah (9:60).)categories of People Who Can Receive Zakat:-

1.Fuqara (The Poor or Needy)

2.Masakin (The Destitute)

3.Amil (Zakat Collectors / Administrators)

Those appointed to collect and distribute zakat.They can receive a small portion as compensation for their work.

4.Mu'allafatul Quloob (New Converts / Those Whose Hearts Are to Be Reconciled)

5. Riqab (To Free Slaves / Captives)

Zakat can be used to emancipate slaves or captives.

6. Ghaarimeen (Those in Debt)

7. Fi Sabeelillah (people who are away from home In the Way of Allah / Public Welfare)

Those engaged in causes pleasing to Allah, such as education, defense, or charitable projects.

8. Ibnus-Sabeel (Wayfarers / Travelers in Need)

The basic structure of zakat ensures economic justice, poverty alleviation, and moral purification, making it a central pillar of Islamic public finance.

🌸.Impact of Zakat financing

1. Economic Impact of Zakat Financing

Zakat plays a vital role in ensuring economic justice and stability in an Islamic economy.

🔹 Redistribution of Wealth

- Zakat transfers wealth from the rich to the poor, reducing income inequality.
- It prevents concentration of wealth in a few hands, as prohibited in Islam.

🔹 Poverty Alleviation

- Provides financial assistance to the poor (fuqarā') and needy (masākīn).
- Helps meet basic needs such as food, clothing, housing, and healthcare.

🔹 Increase in Economic Activity

- Zakat funds enable the poor to participate in economic activities.
- Financing small businesses and income-generating projects increases productivity.

🔹 Prevention of Hoarding :

Since zakat is levied on idle wealth, it encourages investment and circulation of money.

2. Social Impact of Zakat Financing

Zakat strengthens social harmony and solidarity within society.

◆ Social Justice and Equality

Reduces the gap between rich and poor.

Promotes fairness and balance in society.

◆ Social Solidarity (Ukhuwwah)

Builds brotherhood and mutual responsibility among Muslims.

Encourages care for vulnerable groups.

◆ Reduction of Social Problems

Helps reduce crime, begging, and social unrest caused by poverty.

Promotes dignity and self-reliance among beneficiaries.

◆ Strengthening Community Welfare

Supports orphans, widows, debtors, travelers, and other eligible groups.

Enhances overall social stability.

3. Theological (Religious) Impact of Zakat Financing

Zakat has deep spiritual and religious significance in Islam.

◆ Fulfillment of a Pillar of Islam

Zakat is one of the five pillars of Islam.

Its payment reflects obedience to Allah.

◆ Purification of Wealth and Soul

Zakat purifies wealth from greed and selfishness.

It purifies the soul by developing generosity and humility.

◆ Accountability to Allah

Muslims believe wealth is a trust (amanah) from Allah.

Zakat reinforces accountability in the Hereafter.

◆ Spiritual Reward and Blessings, promises barakah (blessings) in wealth.

Brings reward in both this world and the Hereafter.

❁Is there any sustainable policy in islam to disburse zakat assets?

Yes, Islam provides a sustainable policy for disbursing zakat assets. Zakat is meant for poverty alleviation, income generation, and long-term social and economic stability, not just temporary relief.:

- Productive use: Zakat can be given as capital, tools, or livestock to help recipients earn a living.
- Priority-based distribution: Focus on the poorest and neediest first.
- Local distribution: Preferably within the community where zakat is collected.
- Institutional management: Collected and distributed by authorities (e.g., Baitul Mal) for transparency and continuity.
- Reducing dependency: Aim to make recipients self-reliant over time.
- Ethical use: Distributed only to the 8 Shariah-approved categories.

❁Disagreement among Fuquhah on Taxes in Addition to Zakat:

Yes, there is disagreement among Islamic jurists (Fuquhah) regarding the imposition of taxes other than zakat.

Scholarly Views

1. View Opposing Taxes Besides Zakat

Some classical scholars argue that:

- ⇒ Zakat is the only compulsory levy imposed by Shariah
- ⇒ Imposing additional taxes amounts to zulm (injustice)
- ⇒ The state should meet its expenses through zakat, public property, and voluntary contributions.

This view is based on the idea that Islam protects private property and strictly limits compulsory financial obligations.

2. View Supporting Taxes Besides Zakat

The majority of contemporary Islamic scholars hold that:

- ⇒ The state may impose additional taxes if zakat and other lawful revenues are insufficient
- ⇒ Such taxes must be temporary, fair, and need-based
- ⇒ Taxes are permissible to fulfill essential public needs such as defense, administration, welfare, and disaster management.

They justify this position based on:

- The principle of Maslahah (public interest)
- The Islamic rule: “Necessities permit what is otherwise restricted”
- Historical practices of Islamic states during emergencies.

So, There is no absolute prohibition in Islam against imposing taxes in addition to zakat. While zakat remains the primary and permanent source of public revenue, additional taxation is permissible under necessity, provided it is just, equitable, and serves public welfare.

❁ Tax Revenue

A fund raised through the various taxes is referred to as tax revenue. Taxes are compulsory contributions imposed by the government on its citizens to meet its general expenses incurred for the common good, without any corresponding benefits to the tax payer.

Seligman defines a tax thus: “A tax is a compulsory contribution from a person to the government to defray the expenses incurred in the common interest of all, without reference to specific benefits conferred.

➤ Features of Tax:

The main features of tax are as follows:

- ◆ A tax is a compulsory payment to be paid by the citizens who are liable to pay it.
- ◆ There is no direct, quid pro quo between the tax-payers and the public authority.
- ◆ A tax is levied to meet public spending incurred by the government in the general interest of the nation.
- ◆ A tax is payable regularly and periodically as determined by the taxing authority.

❁ Evaluation of Present Tax Structure of Bangladesh

The present tax structure of Bangladesh is mainly dependent on indirect taxes and has both strengths and weaknesses.

➤ Strengths:

- ◆ Taxes are the major source of government revenue.
- ◆ VAT and customs collection are functioning effectively.

- ◆ Modernization of tax administration with e-TIN and online return filing has been implemented
- ◆ Efforts are being made to expand the tax net by including new taxpayers.

► Weaknesses:

- ◆ Over-reliance on indirect taxes, which burdens the poor.
- ◆ Low tax-to-GDP ratio, tax collection is still limited.
- ◆ Tax evasion and corruption cause revenue loss.
- ◆ Complex tax laws are difficult for ordinary citizens to understand.
- ◆ Narrow income tax base, with only a small portion of the population paying income tax.

The tax structure of Bangladesh is effective for revenue collection but not equitable. It is heavily dependent on indirect taxes and a limited taxpayer base, and can be strengthened through increased direct taxation, tax administration reforms, and transparency.

❁ Differences Between Zakat and tax

Basis	Zakat	Tax
Nature	Religious obligation (Ibadah)	Legal obligation
Origin	Divine command (Qur'an & Sunnah)	Human-made law
Purpose	Spiritual purification & social justice	Revenue for government expenditure
Rate	Fixed and specific (e.g., 2.5% on wealth)	Variable and changeable
Base	Certain types of wealth above Nisab	Income, wealth, goods, services, etc.
Payer	Only eligible Muslims	All citizens (Muslim & non-Muslim)
Beneficiaries	Specific 8 categories (Asnaf) mentioned in Qur'an	Government decides beneficiaries
Spiritual Aspect	Has spiritual reward (Sawab)	No spiritual obligation
Use of Fund	Limited to Shariah-approved uses	Used for all public expenditures
Flexibility	Not flexible; fixed by Shariah	Highly flexible
Collection Authority	State or individual (Islamic system)	Government only
Objective	Falah (worldly & hereafter success)	Economic and administrative goals

